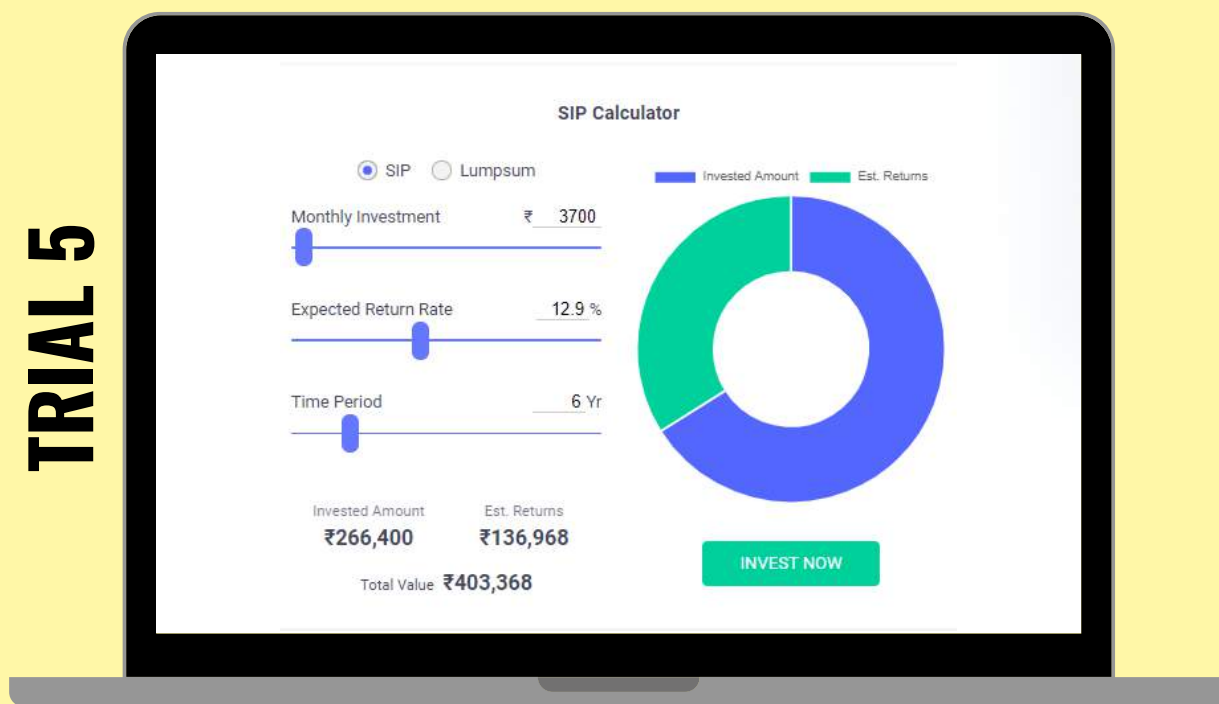


TRIAL 5



After various trials & errors, a monthly investment of INR 3700, gives the closest estimated amount that we needed. Hence, we will go with INR 3700, after adding 10% to it .

We adjusted the monthly investment multiple times and then concluded that Rs. 3,700 is closest to have an ending value of Rs. 4 lacs. Now, we will add 10% to Rs. 3700 i.e. Rs. 4070, so Rs. 4100 for simplicity. Rs. 4100 will be split 70-30 between equity and debt respectively, Rs 2900 in equity per month and Rs. 1200 in debt per month. After this, we can divide this money further based on the categories that we had decided.

This is how we determine the amount that we need to invest today to meet our goals. We have to follow the order of priority so that we first allocate resources to the high on priority goals and then to less important ones. We will also consider timeline implications of the same.

Re-adjustments and calculations have to be made again every 2 years and re-do the allocations for all goals. The is because our weightage of assets keeps on changing and therefore the allocation towards each goal and mutual funds needs to change and adapt accordingly.

For lump-sum, we will use a similar method. Instead of regular monthly investments, we will invest a larger amount initially and raise it over the years. Use the SIP calculator to determine the amount of investment required initially. However, remember that we face valuation risks here. We might end up buying when the market is too expensive and as a result generate very low returns. This is why we are better off using SIP or STP framework.